

113	Balt USA, LLC vs. Treadstone Medical LLC 2021- 01237081	1. Motion for Summary Judgment and/or Adjudication 2. Motion for Summary Judgment and/or Adjudication <u>A. The Braided Stent</u> Defendants Randall Takahashi, David Ferrera, Dawson Le, Treadstone Medical LLC, M4D LLC, Infinity Neuro LLC, Vtail Medical, LLC, Sonorous Neurovascular, Inc., and RC Medical, LLC move for summary adjudication against plaintiff Balt USA, LLC as to the following issues: (1) because the braided stent was conceived, created, and invented after defendant Randall Takahashi left Balt, he had no duty to disclose or assign it to Balt (cause of action no. 4); (2) because the braided stent was conceived, created, and invented after defendant Randall Takahashi left Balt, he had no contractual duty under this employment agreement to assign it to Balt (cause of action no. 8); (3) absent a lawful claim to the braided stent, it cannot support Balt’s cause of action nos. 5-7, and 9-10. <i>For the following reasons, defendants’ motion is DENIED.</i> Legal Authority A defendant seeking summary judgment bears its burden of showing that a cause of action has no merit if the defendant shows that one or more elements of the cause of action cannot be established, or that the defendant has a complete defense to the cause of action. Cal. Civ. Proc. Code § 437c(p)(2); Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850-51. If a defendant does not meet this initial burden, the plaintiff need not oppose the motion and the motion must be denied. Binder v. Aetna Life Ins. Co. (1999) 75 Cal.App.4th 832, 840. If the defendant meets this initial burden, the burden shifts to the plaintiff to produce evidence demonstrating the existence of a triable issue of material fact. Cal. Civ. Proc. Code § 437c(p)(2); Aguilar, 25 Cal.4th at 850-51. A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends the cause of action has no merit, there is no affirmative defense to the cause of action, there is no merit to an affirmative defense as to any cause of action, there is no merit to a claim for damages, as specified in Civil Code section 3294, or that one or more defendants either owed or did not owe a duty to the plaintiff. Civ. Proc. Code § 437c(f)(l). A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty. Id. A motion for summary adjudication proceeds in all procedural respects as a motion for summary judgment. Choochagi v. Barracuda Networks, Inc. (2020) 60 Cal.App.5th 444, 453. The moving party’s evidence is to be strictly construed, while the opposing party’s evidence is to be liberally construed. Johnson v. Super. Ct. (2006) 143 Cal.App.4th 297, 308; see also Los Angeles Unified School Dist. v. Torres Construction Corp. (2020) 57 Cal.App.5th 480, 492 (declarations of the moving party are strictly construed, those of the opposing party are liberally construed, and doubts as to whether a summary judgment should be granted must be resolved in favor of the opposing party). The trial court may not weigh the evidence or evaluate credibility. Binder v. Aetna Life Insurance Co. (1999) 75 Cal.App.4th 832, 840. “The court must consider not only the bare evidence, but also the reasonable inferences deducible from the evidence, and determine
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whether the evidence is sufficient to support a potential judgment in favor of the opposing party.” Id.

Procedural Dispute

The parties initially dispute whether the motion is procedurally proper because it does not purport to “completely dispose[] of a cause of action.” C.C.P. § 437c, sub. (f)(1). Defendants argue a party may move for summary adjudication challenging separate and distinct wrongful acts even though they are, as here, combined with other wrongful acts alleged in the same cause of action. Specifically, defendants’ aim the motion at the alleged misconduct related to the braided stent and cause of action nos. 4-10, to the extent those claims rely upon the alleged misconduct related to the braided stent. See TAC ¶¶ 101-111.

Among other things, plaintiff’s breach of fiduciary duty claim (cause of action no. 4) concerns the corporate opportunities allegedly usurped by defendants. TAC ¶¶ 137-141. Among those opportunities are several “undisclosed inventions,” which include the braided stent. Id. ¶¶ 87-119. While the court understands plaintiff’s argument the product development projects were related and concern some common facts, they appear sufficiently distinct such that they can be considered separate wrongful acts for which summary adjudication is available despite their inclusion in the same cause of action. As explained in *Lilienthal & Fowler v. Superior Ct.* (1993), the court finds the interpretation of the code that would permit such motions best serves the legislative purpose of achieving time and cost savings. 12 Cal. App. 4th 1848, 1854 (“To rule otherwise would defeat the time and cost saving purposes of the amendment and allow a cause of action in its entirety to proceed to trial even where, as here, a separate and distinct alleged obligation or claim may be summarily defeated by summary adjudication.”) In other words, each of the allegedly usurped corporate opportunities carried with it a corresponding obligation such that the court may treat them separately for purposes of summary adjudication. While the court is aware *Lilienthal* has been questioned and distinguished, the court finds no basis to do so here as none of the authorities appear analogous. See, e.g., *Bagley v. TRW, Inc.* (1999) 73 Cal. App. 4th 1092, 1095 n.2 (dicta in case concerning substantively duplicative summary adjudication motions); *Catalano v. Superior Ct.* (2000) 82 Cal. App. 4th 91, 93-94 (summary adjudication of four of five issues supporting punitive damages was prohibited).

Merits

ISSUE NO. 1: Because the braided stent was conceived, created, and invented after defendant Randall Takahashi left Balt, he had no duty to disclose or assign it to Balt.

Defendant’s evidence in support of this issue includes Statement of Undisputed Material Fact (“SUF”) no. 9, which states “[a] braided stent was invented by Tuan Ngo in July and August 2019 when he was working from home.” ROA 1822. Defendants’ supporting evidence is the deposition testimony of Tuan Ngo and the declaration of Randall Takahashi. Id. Ngo testifies he made and photographed a prototype braided stent in July 2019. Takahashi states Ngo contacted him about the stent at this time, was shown the prototype and the photographs taken of it by NGO, and that Ngo asked for his assistance with engineering and design. Plaintiff does not dispute Ngo was not employed by Balt after March 1, 2019 (SUF 2) and that Takahashi was not employed by Balt

	after March 29, 2019 (SUF 22). Accordingly, this evidence is sufficient to shift the burden to plaintiff to show that triable issues of material facts exist. Plaintiff disputes the braided stent was created by Ngo (SUF 9). Plaintiff's evidence consists of various documents and deposition testimony. Plaintiff argues the evidence shows Dawson Le made prototype of the braided stent in 2018, while still employed by Balt. That evidence includes ROA 1812 Ex. 83, which plaintiff describes as "a true and correct copy of the document marked as Exhibit 313 during the deposition of Randall Takahashi, taken on November 6, 2025." This document has not, however, as defendants object, been authenticated and plaintiff offers no testimony or other evidence to explain its content, which appears to consist of a series of text messages between defendant David Ferrera and three other individuals in 2018. Balt's Statement of Additional Material Facts ("SAF") no. 19. Absent authentication, this document is inadmissible and will not be considered. Evid. Code §§ 250, 1401(a). As to the other evidence plaintiff offers to dispute SUF no. 9, the court finds the evidence raises a triable issue regarding the all-important timing issue. Plaintiff's evidence provided in response shows several inconsistencies with SUF 9. ROA 1822. Specifically, while Ngo testified he completed the prototype on July 28, 2019, and only later sought Takahashi's assistance, defendant M4D's patent attorney, Peter Gluck, invoiced Takahashi for the provisional patent application for the braided stent on July 22, 2019, nearly a week before Ngo states he completed the prototype. Id. The date of the patent application invoice from Gluck is also inconsistent with Takahashi's testimony that as of the end of July or early August 2019, the only thing Ngo had was a "conceptual idea" and a "pattern on paper," not a "stent." Id. Gluck also testified that he believed the braided stent would be assigned to Balt if it became "important." Id. Finally, Ngo's invention of the braided stent in 2019 is inconsistent with defendant M4D's 2019 R&D Tax Credit Study, which completely omits Ngo from the personnel roster, as reflected in the "Wage Expense Detail." Id. Accordingly, as plaintiff has raised a triable issue of fact in the separate statement, the motion must be denied as to Issue No. 1. Additionally, as defendants have conceded all facts in its separate statement (ROA 1536) are material to all three issues they seek to summarily adjudicate, and plaintiff has raised a triable issue, the motion must be denied as to Issue Nos. 2 (Because the braided stent was conceived, created, and invented after defendant Randall Takahashi left Balt, he had no contractual duty under this employment agreement to assign it to Balt.) and 3 (Absent a lawful claim to the braided stent, it cannot support Balt's cause of action nos. 5-7, and 9-10.) as well. See, e.g., <i>Nazir v. United Airlines, Inc.</i> (2009) 178 Cal.App.4th 243, 252 (separate statement "'effectively concedes the materiality of whatever facts are included. Thus, if a triable issue is raised as to any of the facts in [the] separate statement, the motion must be denied[.]'"). Evidentiary Objections Plaintiff's evidentiary objection no. 4, as to Takahashi Decl. ¶¶ 18-19 is overruled. ROA 1815. All other objections were not material to the disposition of the motion. Civ. Proc. Code § 437c(q). Defendants' evidentiary objection no. 1 is sustained. Request for Judicial Notice
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To the extent a request for judicial notice is contained within a separate statement (SUF nos 29-30), the request is improper and is denied. "Any request for judicial notice must be made in a separate document listing the specific items for which notice is requested and must comply with rule 3.1306(c)." CRC, Rule 3.1113.

Plaintiff to give notice.

B. catheter access puncture tool

Defendants Randall Takahashi, David Ferrera, Dawson Le, Treadstone Medical LLC, M4D LLC, Infinity Neuro LLC, Vtail Medical, LLC, Sonorous Neurovascular, Inc., and RC Medical, LLC move for summary adjudication against plaintiff Balt USA, LLC as to the following issues: (1) the catheter access puncture tool did not constitute a corporate opportunity for Balt, and the Individual Defendants did not have a duty to disclose or assign this medical device to Balt (cause of action no. 4); (2) the catheter access puncture tool was not conceived by the Individual Defendants while they were employed by Balt, and had been abandoned, so they were not contractually obligated to disclose and assign their rights and interests in it to Balt under their employment agreements (cause of action no. 7); (3) defendants Takahashi and Le did not conceive or invent the catheter access puncture tool while employed by Balt, and had no duty to disclose or assign it to Balt (cause of action no. 8); and (4) absent a lawful claim to the catheter access puncture tool, it cannot be a basis for Balt's cause of action nos. 5-6, and 9-10.

For the following reasons, defendants' motion is DENIED.

Legal Authority

A defendant seeking summary judgment bears its burden of showing that a cause of action has no merit if the defendant shows that one or more elements of the cause of action cannot be established, or that the defendant has a complete defense to the cause of action. Cal. Civ. Proc. Code § 437c(p)(2); Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850-51.

If a defendant does not meet this initial burden, the plaintiff need not oppose the motion and the motion must be denied. Binder v. Aetna Life Ins. Co. (1999) 75 Cal.App.4th 832, 840. If the defendant meets this initial burden, the burden shifts to the plaintiff to produce evidence demonstrating the existence of a triable issue of material fact. Cal. Civ. Proc. Code § 437c(p)(2); Aguilar, 25 Cal.4th at 850-51.

A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends the cause of action has no merit, there is no affirmative defense to the cause of action, there is no merit to an affirmative defense as to any cause of action, there is no merit to a claim for damages, as specified in Civil Code section 3294, or that one or more defendants either owed or did not owe a duty to the plaintiff. Civ. Proc. Code § 437c(f)(1). A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty. Id. A motion for summary adjudication proceeds in all procedural respects as a motion for summary judgment. Choochagi v. Barracuda Networks, Inc. (2020) 60 Cal.App.5th 444, 453.

The moving party's evidence is to be strictly construed, while the opposing party's evidence is to be liberally construed. Johnson v. Super. Ct. (2006) 143

Cal.App.4th 297, 308; see also Los Angeles Unified School Dist. v. Torres Construction Corp. (2020) 57 Cal.App.5th 480, 492 (declarations of the moving party are strictly construed, those of the opposing party are liberally construed, and doubts as to whether a summary judgment should be granted must be resolved in favor of the opposing party). The trial court may not weigh the evidence or evaluate credibility. Binder v. Aetna Life Insurance Co. (1999) 75 Cal.App.4th 832, 840. "The court must consider not only the bare evidence, but also the reasonable inferences deducible from the evidence, and determine whether the evidence is sufficient to support a potential judgment in favor of the opposing party." Id.

Procedural Dispute

The parties initially dispute whether the motion is procedurally proper because it does not purport to "completely dispose[] of a cause of action." C.C.P. § 437c, sub. (f)(1). Defendants argue a party may move for summary adjudication challenging separate and distinct wrongful acts even though they are, as here, combined with other wrongful acts alleged in the same cause of action. Specifically, defendants' aim the motion at the alleged misconduct related to the catheter access puncture tool ("puncture tool") and cause of action nos. 4-10, to the extent those claims rely upon the alleged misconduct related to the puncture tool. See TAC ¶¶ 96-100.

Among other things, plaintiff's breach of fiduciary duty claim (cause of action no. 4) concerns the corporate opportunities allegedly usurped by defendants. TAC ¶¶ 137-141. Among those opportunities are several "undisclosed inventions," which include the puncture tool. Id. ¶¶ 87-119. While the court understands plaintiff's argument the product development projects were related and concern some common facts, they appear sufficiently distinct such that they can be considered separate wrongful acts for which summary adjudication is available despite their inclusion in the same cause of action. As explained in Lilienthal & Fowler v. Superior Ct. (1993), the court finds the interpretation of the code that would permit such motions best serves the legislative purpose of achieving time and cost savings. 12 Cal. App. 4th 1848, 1854 ("To rule otherwise would defeat the time and cost saving purposes of the amendment and allow a cause of action in its entirety to proceed to trial even where, as here, a separate and distinct alleged obligation or claim may be summarily defeated by summary adjudication.") In other words, each of the allegedly usurped corporate opportunities carried with it a corresponding obligation such that the court may treat them separately for purposes of summary adjudication. While the court is aware Lilienthal has been questioned and distinguished, the court finds no basis to do so here as none of the authorities appear analogous. See, e.g., Bagley v. TRW, Inc. (1999) 73 Cal. App. 4th 1092, 1095 n.2 (dicta in case concerning substantively duplicative summary adjudication motions); Catalano v. Superior Ct. (2000) 82 Cal. App. 4th 91, 93-94 (summary adjudication of four of five issues supporting punitive damages was prohibited).

Merits

ISSUE NO. 1: The catheter access puncture tool did not constitute a corporate opportunity for Balt, and the Individual Defendants did not have a duty to disclose or assign this medical device to Balt.

Defendants' facts in support of this issue includes, among others, Statement of Undisputed Material Fact ("SUF") 23, which states "[d]uring the entire time that David Ferrera assisted Dr. Tateshima with the potential development of the access puncture tool, Balt limited the scope of its business to "go get the clot."

ROA 1865. Defendants' supporting evidence includes the declarations of David Ferrera and Randall Takahashi. Id. Ferrera, Chief Technology Officer of Balt at the time of his departure in May 2019, testifies he understood the limited scope of Balt's business from a Balt "business strategy." ROA 1612 ¶ 19. However, defendants provide no authority that a stated business strategy legally defines the line of business. Broz v Cellular Info. Sys. (1996) 673 A.2d 148, 154-155 expressly did not reach the question whether business strategy was even "relevant" to that determination. Broz, supra, 673 A.2d at 156 n.7. Ferrera also testifies Balt's "business opportunities were limited to medical products that are designed to treat neurovascular conditions," never expressed interest in developing general surgical products to facilitate catheter entry, such as the puncture tool, and has never developed any such products." ROA 1612 ¶ 19. Takahashi testifies similarly, i.e., Balt's "stated mission" was "go get the clot," its mission was to treat neurovascular conditions of the brain, and Balt had "no interest" in developing devices like the puncture tool. ROA 1614 ¶ 5. SUF 24-26 are substantially similar to SUF 23 and rely on the same evidence. However, neither Ferrera nor Takahashi provide adequate foundation to the extent they purport to speak for Balt as a whole never expressing interest in such development.

Defendants' facts in support of this issue also include SUF 47, which states "Ujwal Jalgaonkar Vice President of Research and Development for Balt USA LLC testified at his deposition that the puncture access tool was not within the scope of the business of Balt." ROA 1865. SUF 60 is substantially similar and relies upon the same evidence. Defendants mischaracterize Jalgaonkar's testimony. ROA 1623 Ex. A. While it is undisputed there was no active program to develop a puncture tool (SUF 61), he testified Balt "evaluate[s] the opportunities as they come" and "look[s] at the opportunity as it comes, the technology that we have, and make those discussions." ROA 1623 Ex. A. He also explained a puncture tool was related in that Balt "does the whole procedure...[t]o introduce anything into the vascular, we need a tool for it... [a]nd is that a part of a tool set that is used for procedures that we provide devices? Yes." Id. Defendants' evidence purports to include additional testimony from Jalgaonkar on this issue (SUF 55-57, 59), but the cited transcript excerpts have not been provided. See ROA 1623 Ex. A.

Defendants also rely upon the deposition testimony of current Balt employee Fred Gunderman, hired in 2018 as Vice President of Clinical and Medical Affairs. SUF 62. Defendants' facts supported by Gunderman are largely undisputed. SUF 64-69. Balt's "main focus" is medical devices to treat the vascular system and Gunderman did not recall discussions of Balt developing a puncture tool. SUF 64-69. However, Gunderman disagreed with the limitation that Balt's "main focus" was treating "hemorrhagic conditions involving the brain" and explained its main focus was "neurovascular diseases and adjacent disease states," including the "peripheral vascular" area. ROA 1623 Ex. B.

Based on the above, the court finds the evidence presented by defendants insufficient to find the puncture tool is outside Balt's line of business. The evidentiary burden does not shift to plaintiff, and the motion is denied as to Issue No. 1.

ISSUE NO. 2: The catheter access puncture tool had not been conceived by the Individual Defendants while they were employed by Balt, and had been abandoned, and as a result the Defendants were not contractually obligated to disclose and assign their rights and interests in the catheter access puncture tool to Balt pursuant to their employment agreements.

	Defendants’ facts in support of this issue include, among others, Statement of Undisputed Material Fact (“SUF”) 39, which states “David Ferrera, Dawson Le, and Randall Takahashi did not play any role in developing the access puncture tool, and Takahashi and Ferrera’s names only appeared on patent applications as a favor to Dr. Tateshima since he could not sign patent applications for patents due to his position at UCLA Medical Center.” ROA 1865. Defendants’ supporting evidence includes the declarations of Satoshi Tateshima and David Ferrera. Id. As worded, SUF 39 is substantively identical to statements made in both Tateshima’s (ROA 1615 ¶ 37) and Ferrera’s (ROA 1612 ¶ 27) declarations. Accordingly, this evidence is sufficient to shift the burden to plaintiff to show that triable issues of material fact exist. Plaintiff disputes that individual defendants were not involved in the development of the puncture tool. See SUF 39; Balt’s Statement of Additional Material Facts (“SAF”) 3-11. ROA 1865. On February 5, 2019, the evidence shows Tateshima emailed Ferrera and patent attorney Peter Gluck the “prototype pictures and idea sketch figures” for the puncture tool. SAF 3. The next day, Ferrera forwarded Tateshima’s email and attachments to Yang, Takahashi, and Le (all employed by Balt at the time) with the message “[m]ore details from Satoshi on his idea. Let’s discuss.” Id. On February 12, 2019, Ferrera responded to Tateshima stating “[t]he puncture dilator appears easier to manufacture. One piece insert molded. What length would be required?” SAF 4. Ferrera also requested to observe a demonstration of the device. Id. Additional emails were exchanged between Ferrera and Tateshima in March 2019 concerning the design and patent application for the puncture device. SAF 5. On March 20, 2019, Ferrera emailed Yang, Takahashi, Le (all employed by Balt at the time), and Gluck to schedule a meeting with Tateshima “to have him explain his design inputs so we can come up with the design for the device.” SAF 6. Viewing the evidence in the light most favorable to the party opposing summary adjudication as it must, plaintiff has raised a triable issue of fact, and it is for a jury to decide to what extent defendants were involved in the development of the puncture tool. That development of the puncture tool was abandoned and never produced for sale is immaterial. The court does not find the court of appeals case from Arizona persuasive and, to the extent the opinion equates abandonment of development prior to production with a lack of liability for breach of the duty of loyalty, the court disagrees with it. Taser International Inc. v. Ward (2010) 224 Ariz. 389. If anything, the case shows that the question whether development efforts were substantial enough for liability is a fact-specific question for jury and inappropriate for summary adjudication. Id. at 396. Relatedly, to the extent defendants argue nothing was invented and there was thus no property to assign, this incorrectly assumes all property is tangible. Accordingly, summary adjudication of Issue No. 2 is denied. ISSUE NOS. 3-4: As defendants have conceded all facts in their separate statement (ROA 1865) are material to all four issues they seek to summarily adjudicate, and plaintiff has raised a triable issue, the motion must be denied as to Issue Nos. 3-4 as well. See, e.g., Nazir v. United Airlines, Inc. (2009) 178 Cal.App.4th 243, 252 (separate statement “effectively concedes the materiality of whatever facts are included. Thus, if a triable issue is raised as to any of the facts in [the] separate statement, the motion must be denied[.]”). Evidentiary Objections
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		Plaintiff's evidentiary objection no. 2, as to Ferrera Decl. ¶ 19, and objection no. 3, as to Takahashi Decl. ¶ 5, are sustained. ROA 1861. All other objections were not material to the disposition of the motion. Civ. Proc. Code § 437c(q). Plaintiff to give notice.
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